

# Foundational Factors

A compact three-factor core (momentum, mean reversion, carry) – each axis captures a structurally different source of cross-sectional return, so their blend is largely uncorrelated.

Foundational Factors integrates three orthogonal factors: momentum, mean reversion and enhanced carry. The momentum component captures assets with strong, persistent price trends; the mean reversion component captures assets with medium-term mean reversion effects; and the carry strategy seeks to profit from funding rates and related statistical price distortions.

All have been inspired by the academic literature, with proprietary enhancements.

Together, these factors create a diversified return stream designed to outperform in a range of market conditions.

The asset universe consists of the most liquid and actively traded assets, identified on a rolling basis – various techniques are employed to keep it both stable and relevant, as well as survivorship-bias free.

To balance each asset's risk contribution, positions are scaled according to the inverse of their rolling volatility.

The portfolio is rebalanced daily, with hourly updates provided, 5 minutes past the hour (UTC).

## TOP 40 CROSS-SECTIONAL MULTI-FACTOR PORTFOLIO

Top 40 market-cap universe • 200% gross exposure (100% long / 100% short). Blends 3 orthogonal factors into one diversified, point-in-time stream; inverse-vol sized, rebalanced daily.

[Download Returns \(CSV\)](#) →

### PERFORMANCE

Report Period Start Date Jan 2020 • End Date Jun 2026

#### Cumulative Returns

| MTD   | Last Month | 1M   | 3M    | YTD  |
|-------|------------|------|-------|------|
| -4.6% | 15.1%      | 4.3% | 12.3% | 9.0% |

#### Annualised Returns (CAGR)

| 1Y    | 3Y    | 5Y    | SI    |
|-------|-------|-------|-------|
| 32.7% | 41.6% | 33.7% | 70.6% |

### RISK PROFILE

#### Realised Volatility (annualised)

| 1M    | 3M    | 1Y    | 3Y    | 5Y    | SI    |
|-------|-------|-------|-------|-------|-------|
| 25.3% | 21.8% | 18.7% | 21.7% | 21.3% | 28.0% |

#### Max Drawdown

| %      | Date       |
|--------|------------|
| -30.2% | 2022-02-27 |

#### CUMULATIVE RETURN



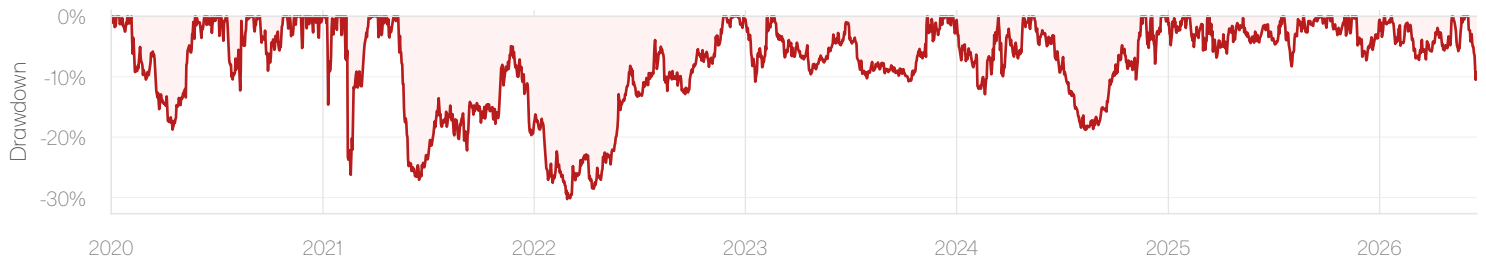
Note – Performance is for the Foundational Factors multi-factor portfolio (component factors blended and rescaled across the Top 40 universe, rebalanced daily); demonstrative only, not a tradable product. Past performance is not indicative of future results.

# Portfolio Analysis

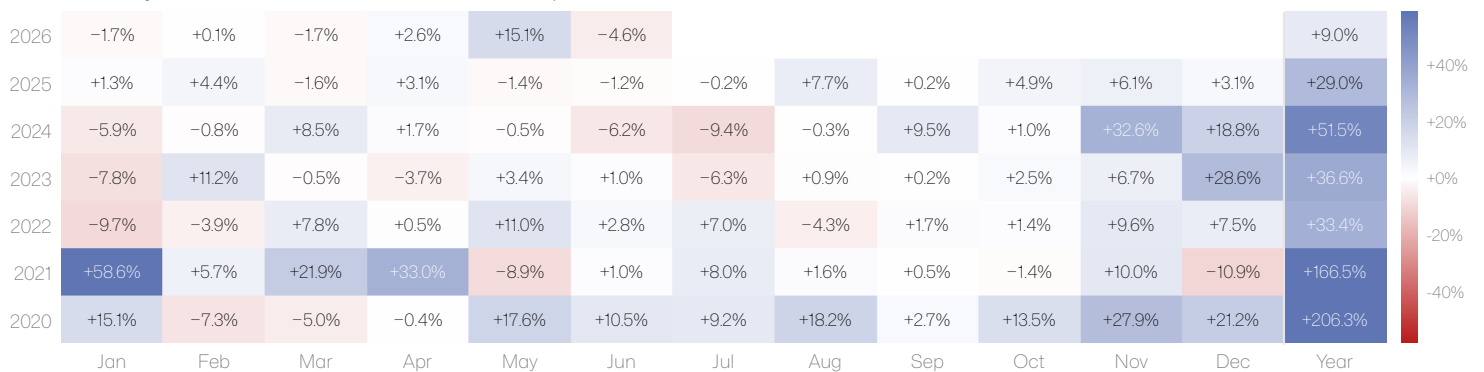
[Download Returns \(CSV\)](#) →

Portfolio-level diagnostics for the live multi-factor strategy: the cumulative compounding profile shown on page 1 broken into its drawdown trajectory, calendar-month returns, rolling risk-adjusted return and rolling gross exposure. Constituents: Momentum, Mean Reversion, Enhanced Carry.

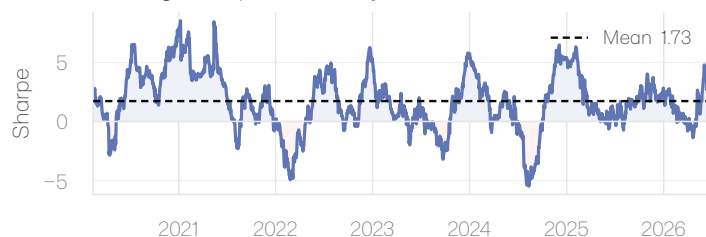
## Drawdown



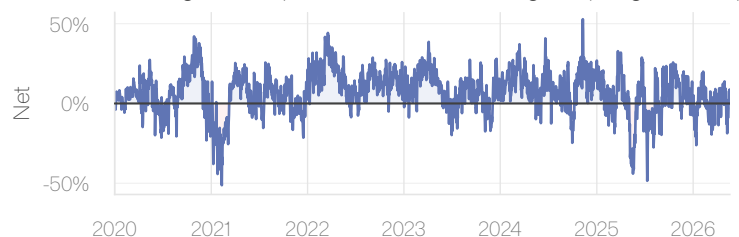
## Monthly Returns • calendar-month, compounded



## Rolling Sharpe • 90-day, annualised



## Rolling Net Exposure • sum of weights (long – short)



## ABOUT UNRAVEL

Unravel publishes a catalog of cross-sectional, market-neutral crypto factors – each with point-in-time history and live signals – designed to be combined into multi-factor portfolios that diversify away single-factor risk. Full catalog, methodology and API at [unravel.finance](https://unravel.finance); see the materials below.

[View this portfolio on unravel.finance](#) →[Replication notebook – multi-factor construction](#) →

Have further questions? [Book a call with our team – unravel.finance/booking](https://unravel.finance/booking)

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